Chapter 2 CLASSIFICATIONS OF AUDIT – I

Learning Objectives

- Classification of Audit
- Meaning, Advantages and Disadvantages of Continuous Audit, Periodical Audit and Interim Audit
- Meaning of Balance sheet Audit, Special Audit, Cost Audit, Special Audit, Occasional Audit, Standard Audit, Post and Vouch Audit
- Difference between Continuous Audit and Annual Audit
- Difference between Interim Audit and Continuous Audit

TO BE RECALLED RECAP

In the previous Unit we have studied Meaning, Definition, Objectives, advantages and disadvantages of Auditing, Types of Frauds and Errors, Auditor's Duty in relation to Errors and Frauds, Meaning and Definition of Investigation and Difference between Auditing and Investigation.

2.1 Introduction

Auditing is a multi-dimensional and comprehensive technique. An effective insight into the nature of auditing can be obtained by understanding the various types of audit, which together constitute the auditing discipline. Auditing can be classified from various view points. In this chapter, the detailed classification of audit will be discussed.

2.2 Classifications of Audit

- Continuous Audit
- Periodical Audit
- Interim Audit
- Occasional Audit
- Standard Audit
- Balance sheet Audit
- Post and Vouch Audit

2.3 Continous Audit

Continuous audit implies a detailed examination of all the transactions by the auditor continuously throughout the year. In other words, when the accounts of a client are checked continuously throughout the whole year or at intervals during the financial period is called as Continuous Audit. At the end of the financial period, the auditor checks the correctness of the financial statements and submits a report without much loss of time.

2.3.1 Features or Characteristics

1. It involves detailed examination of all transactions by the auditor.
2. The auditor visits the business concern at frequent intervals, say weekly or

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